

Moong Dal

Price in January 2008:
Rs 43.20

Price in January 2009:
Rs 51.56

Increase: **19.16%**

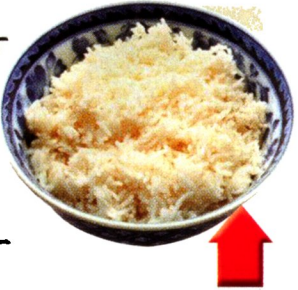


Rice

Price in January 2008:
Rs 20.76

Price in January 2009:
Rs 26

Increase: **25.24%**



Number GAME

Food prices still don't reflect in the overall rate of inflation

Jan 08
4.66

Jan 08
4.5

Aug 08
12.8

Aug 08
10.29

Nov 08
8.5

Nov 08
11.11

Feb 09
9.63

Feb 09
3.6

Mar 09
0.7

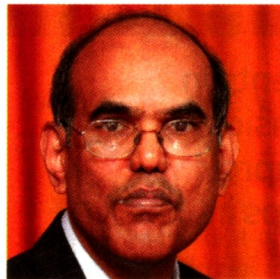
— Consumer Price Index
— Wholesale Price Index

Figures in percentage

INFLATION

High food prices are still not reflected in the overall rate of inflation since primary articles (which include food) enjoy a weightage of 22.02 per cent in calculating WPI. In the calculation, the Government presumes that the common man spends almost 80 per cent of his wages on manufactured goods and fuel. And food prices have been negated by the falling prices of fuel and manufactured products. Explains Siddhartha Roy, chief economist, Tata Group: "Food prices, which directly affect the common man, are still very high. In February, the index for primary articles went up by 7.5 per cent while in March it was up 4.1 per cent."

The Government is busy playing up the low WPI, while the Consumer Price Index (CPI), which actually reflects the burden on the consumer's pocket, is still very high. The WPI is testing near-zero levels and the CPI is near double-digit levels. In January, the CPI was at 11.35 per cent while WPI was at 5.2 per



“When we talk of inflation, we factor in all the indices and not just one. We expect headline inflation to be around 4 per cent by March 2010.”

D. SUBBARAO, RBI Governor

cent and in February, the CPI came down marginally to 9.63 while WPI fell to 3.6 per cent. The two inflation indices have never been in such contrast as they are today. Thus, food and beverages enjoy a weight of 46 per cent, while calculating this index, as they form a large part of the common industrial worker's expenditure.

At present, the CPI and the WPI are completely divergent, and Abheek Barua, chief economist, HDFC Bank, says, "Given that a large part of the population is impacted by high food prices,

the disconnect between food prices and inflation is not good for the economy." For poor households, 70-80 per cent of expenditure is on food and even for relatively richer households, food is a major segment, and any index that does not reflect this trend is unlikely to give an accurate picture on inflation.

High food prices are also crucial for the revival of the economy. Food being a critical component of an industrial worker's wage basket, industry cannot renegotiate wages till food prices come down. Going forward, the situation is